Mark-Up

In the mark-up phase, the prices start rising.

A large number of investors get in at different stages to invest in different companies.

As the stock market experiences an upbeat rally, we can declare it as a bull market.

Since smart money entered the market at the accumulation phase, in the markup phase, we can expect increased participation from retail investors.

is preceded by

Decline

During this phase, there is widespread fear due to which less experienced investors usually exit the market.

Accumulation

Fear starts declining as the market grows. The system strengthens with confidence and optimism. Thus smart investors start participating in the stock market.

Investors develop a varying degree of confidence and start to invest in the stock markets. This is referred to as the mark-up phase where prices start to escalate.

Distribution

- The distribution phase begins when the market is excitement driven. The ownership is distributed to retail investors.

Due to the market's euphoria, smart money begins to sell and the general public begins to buy.

- Earlier the market was driven by valuation, whereas now it is excitement driven.

Now, the ownership is distributed amongst small investors instead of a selected few institutions dealing in smart money.